Calderwood Partners LLC

www.calderwoodpartners.com

January 28, 2018

Steven Lowe
Vice President, Finance
Key Group

Dear Mr. Lowe:

This letter sets down the terms on which Calderwood Partners will advise Key Group on the design of a shared services organization, and it becomes our agreement at the moment you countersign the copy enclosed with it and return that copy to me. I have chosen to state the terms at some length and in ordinary language, because an engagement of this kind proceeds far more surely when both sides have read the same account of it before any work is undertaken, and the modest effort of reconciling our expectations at the outset is repaid many times over across the months of work that follow. Before you sign, I would ask you to read what follows against your own understanding of what we have discussed, and to tell me of any point on which the two do not correspond, so that we begin from a single shared description rather than from two that merely resemble one another.

The Work We Have Been Asked to Do

The assignment is the design of a shared services organization through which Key Group would consolidate transactional and support activities that today sit dispersed across its operating units, and its object is a design your own people are able to stand up and run rather than one that reads well on a chart and falters in operation. We will begin by establishing a faithful picture of how these activities are performed now, tracing which functions are candidates for consolidation, what each of them costs to run in its present form, and where the seams between them create duplicated effort or leave accountability divided. From that baseline we will develop a target design for the shared services organization, describing the services it would provide, the levels at which it would provide them, the way its costs would be recovered from the units it serves, and the governance under which it would operate; and we will set out, without softening them, the trade-offs that any recommended design asks the organization to accept. Our aim throughout is a design that is defensible on the evidence and operable by your managers, and we will tell you plainly wherever those two tests pull in different directions.

It is worth being equally clear about the boundary of the work. This is a design engagement informed by the cost picture, and it is neither an audit of your present accounts nor the implementation of the organization we design; while we will prepare a transition plan and equip your team to carry it out, the standing-up of the shared services organization will remain yours to lead unless we later agree, in a separate writing, to a distinct engagement covering that work. Should the scope of the assignment change materially once we are under way, whether at your request or because the analysis brings something unforeseen to light, we will describe the change to you and settle its terms before we act on it, so that nothing is added to the work without your assent.

The People Who Will Carry the Work

Jason Torres, a principal of the firm, will hold the relationship with you and will answer for the conduct of the engagement and for what we deliver under it; he is the person to whom you should bring any question of scope, pace, or emphasis as the work proceeds. Daniel Cisneros, a research associate, will carry much of the primary research and the interviews on which an accurate baseline depends, and will be the person your managers most often see while we are gathering the detail of how the work is done today. The team will be small and consistent, and the people whose names stand on our analysis will be the people who have actually done it.

Fees and Payment

Our fee for the engagement is a fixed sum of $105,500, which covers the work described above together with the ordinary meetings, correspondence, and interim materials that accompany it, and which does not extend to work we may later agree to add, such as the implementation of the design, that we would scope and price separately before beginning. We have set the fee as a fixed figure rather than an hourly rate so that the commercial arrangement is settled once and does not itself become a thing to manage across the engagement. We will invoice against the fee at regular intervals as the work proceeds, and each invoice falls due within thirty days of its date.

Duration and Ending the Engagement

The engagement will commence on February 7, 2018 and is scoped to run for approximately eight months, that being the period over which we have planned the baseline, the design, and the transition planning, though I will tell you early if the assignment proves to need materially more time or less. Either of us may bring the engagement to an end on reasonable written notice to the other. Should you elect to end it, you will owe our fee earned to the date of termination together with any costs properly incurred to that point and nothing beyond; should we do so, which we would undertake only for a reason our professional standards require of us, we will return any portion of the fee that relates to work not yet performed and will assist an orderly handover of what we have done.

Confidentiality

We will treat the information you place in our hands, together with the fact and the substance of this engagement, as confidential, and we will use what you disclose to us solely for the purpose of the work you have retained us to perform. We ask the same of Key Group in respect of the methods, analyses, and materials we bring to the assignment. These obligations will outlast the completion or termination of the engagement, and neither party will disclose the other's confidential information except where the law or a proper regulatory authority compels it, and then only so far as compelled and, where it is practicable to do so, on notice to the other.

Limitation of Liability

We will perform this engagement with the care and skill our profession expects, and our advice will represent our considered professional judgment on the information available to us at the time we give it. We do not, however, warrant a particular commercial result, since the benefit an organization draws from a shared services design depends in large part on decisions and actions that rest with your people rather than with ours. Our aggregate liability to you arising out of or in connection with this engagement will be limited to the amount of the fee actually paid to us under it, save where the law does not permit such a limit, and neither party will be liable to the other for indirect or consequential loss.

Governing Law and Entire Agreement

This letter, together with the signature page enclosed with it, constitutes the entire agreement between us in respect of this engagement and supersedes any prior discussion or understanding, and it may be varied only by a writing signed on behalf of both parties. It will be governed by, and construed in accordance with, the law of the state in which our firm maintains its principal office, and each of us submits to the jurisdiction of the courts of that state in respect of any dispute arising under it.

If the terms set out above reflect our agreement, the one thing I would ask of you now is to sign and date the enclosed copy of this letter, together with the signature page that carries the fee, and to return both to me; on receipt we will confirm the commencement and begin the work. If any part of it warrants discussion first, tell me and I will make the time this week to talk it through before you sign.

Sincerely,

Julie Ramsey
Managing Principal
Date: January 28, 2018

Steven Lowe
VP Finance, Key Group
Date: January 28, 2018